"I've been banging away at this thing for 30 years. I think the simple math is, some projects work and some don't. There's no reason to belabor either one. Just get on to the next."

—Brad Pitt accepting a Screen Actors Guild Award

HEINZ BERGGRUEN FLED Nazi Germany in 1936. He settled in America, where he studied literature at U.C. Berkeley.

By most accounts he did not show particular promise in his youth. But by the 1990s Berggruen was, by any measure, one of the most successful art dealers of all time.

In 2000 Berggruen sold part of his massive collection of Picassos, Braques, Klees, and Matisses to the German government for more than 100 million euros. It was such a bargain that the Germans effectively considered it a donation. The private market value of the collection was well over a $1 billion.

That one person can collect huge quantities of masterpieces is astounding. Art is as subjective as it gets. How could anyone have foreseen, early in life, what were to become the most sought-after works of the century?

You could say "skill."

You could say "luck."

The investment firm Horizon Research has a third explanation. And it's very relevant to investors.

"The great investors bought vast quantities of art," the firm writes.[19] "A subset of the collections turned out to be great investments, and they were held for a sufficiently long period of time to allow the portfolio return to converge upon the return of the best elements in the portfolio. That's all that happens."

The great art dealers operated like index funds. They bought everything they could. And they bought it in portfolios, not individual pieces they happened to like. Then they sat and waited for a few winners to emerge.

That's all that happens.

Perhaps 99% of the works someone like Berggruen acquired in his life turned out to be of little value. But that doesn't particularly matter if the